HEAL HOUSE

DRAFT FOR DISCUSSION · HH-MODEL-0001 · NOV 5 2026

36–48 STEELES AVE E / 37–49 HIGHLAND PARK BLVD · MARKHAM · IN RECEIVERSHIP

Health and housing, *together*, at Yonge & Steeles

An approved two-tower site, bought out of receivership with a pension-backed guarantee and built through the Common Ground Initiative: affordable and market rental, 55+ living with Heal House programs, a Heal House wellness podium, and short-stay suites.

$466.6M	960 homes	$19.0M	1.69x	Yr 20
TOTAL PROJECT COST	287 AFFORDABLE · +80 KEYS	STABILIZED NOI	DEBT COVERAGE, YR 1	BCH MEZZ REPAID BY YR-20 REFI

01 · PROGRAM

COMPONENT	SIZE	NOI
Tower A — affordable + market rental	710 units (213 aff.)	$13.8M
Tower B — 55+ rental with Heal House programs	250 suites (74 aff.)	$4.2M
Heal House podium — part of the building, no rent	40,000 sf	($0.2M)
Short-stay / recovery suites	80 keys	$1.3M
Total · approved 858,648 sf GFA		**$19.0M**

02 · CAPITAL STACK AT CONSTRUCTION CLOSE

SOURCE	AMOUNT	SHARE
CMHC MLI Select — 4.25%, 50-yr amortization	$233.3M	50%
BCH contribution — vests Yrs 1–10 vs affordable homes	$101.7M	21.8%
BCH mezz — no payments to Yr 10, repaid Yrs 11–20	$84.9M	18.2%
City of Markham	$34.7M	7.4%
Land equity (retained seat)	$12.0M	2.6%
Total project cost	**$466.6M**	**100%**

03 · HOW THE LAND GETS BOUGHT

1. **LiUNA pension invests in Nesting Ground**, building its Affordable Housing Guarantee Pool.
2. **The guarantee lifts the land loan** from $19.5M (65% of value) to the full $31.0M price — a $11.5M top-up guarantee.
3. **We buy from the receiver** and pay out the secured lenders (~$30.3M owing).
4. **At construction close**, the Common Ground stack pays the $18.0M Day-1 land draw against the loan; the raise retires the remaining $13.0M.
5. **Nesting Ground owns and operates** the rental; Heal House runs the programs; LiUNA builds.

04 · WHAT WE NEED TO RAISE

$8.7M
Equity at purchase — transfer tax $0.6M, legal $0.5M, 18-mo carry $3.5M, pre-development $4.0M

$13.0M
Equity at construction close — land loan left after the Day-1 draw

$21.7M
Peak equity; $17.7M stays in after pre-development is reimbursed

$11.5M
Land-loan guarantee (LiUNA via Nesting Ground)

~$58.3M
Guarantor net worth for CMHC (≈25% of loan) — confirm current rule

~$23.3M
Guarantor liquidity for CMHC (≈10% of loan) — confirm current rule

05 · WHAT THE EQUITY EARNS

60% of cash flow after debt, Yrs 1–10	$64.2M
Year-10 buyout of the land seat	$28.8M
Back to equity · 5.3x on $17.7M · ~17% IRR	**$93.0M**

Nesting Ground keeps 40% of cash flow, takes fee-simple land at Year 10, and owns the whole asset by Year 20. Year-10 refinance coverage: **2.05x** (needs 1.10x).

06 · STATED OPENLY

- **Assumes MLI Select and BCH fund the short-stay suites.** CMHC normally excludes short-stay space; if it holds that line, the suites need separate cash (e.g. Sunray). The podium is resident amenity space, which CMHC normally accepts.
- **55+ must stay independent rental.** Two bundled care services trigger Ontario's Retirement Homes Act and move CMHC to a lower-leverage product.
- **BCH contribution is $354K per affordable home** — high; phasing Tower A first lowers the first ask.
- **Development charges ($63.0M) are estimates**; approvals, stamped drawings and final GFA are unverified. Clinic and short-stay uses need a zoning amendment.
- Project value at stabilization ($435.9M) is below cost; the BCH contribution closes the gap.

HEAL HOUSE

A sanctuary for healing.

Sources: Approved two-tower scheme, 858,648 sf marketed GFA (Colliers brochure, Jun 2026) — unverified vs stamped set · Arterial construction cost, Markham condos 40–60 storeys, $330–410/sf midpoint (Nov 4 2026) · Arterial scenario comps, Yonge/Steeles leasing: 1BR $2,338 (5), 2BR $2,963 (4); 3BR $3,500 adj. from 1 comp (Nov 4 2026) · Arterial / CMHC Markham zone avg rents 1BR $1,720 · 2BR $1,850 · 3BR $1,834 (Nov 4 2026) · Arterial Markham multi-res rate 0.8397% (2025) · ESTIMATE — Arterial has no Markham/York DC data; needs municipal quote · Working value $30M (desktop opinion, Nov 4 2026); bid $31M · ASSUMPTION — 80 short-stay keys, ADR $185, 72% occ., 30% NOI margin · ASSUMPTION — 40,000 sf Heal House podium is building amenity space: no rent; building carries ~$5/sf operating cost · Common Ground July 2026: MLI Select 50% / BCH 40% (54.5% contribution, 45.5% mezz) / City 5% / land equity 5%. Per instruction, assumes MLI Select + BCH fund commercial space. Bid $31.0M; guaranteed land loan at 6.5%. Illustrative scenario for discussion — not an appraisal, offer, commitment or financial advice. Subject to receiver and court approval, CMHC, BCH and City of Markham approvals, LiUNA trustee approval, and legal review.

HEAL HOUSE OPERATING ECONOMICS · ZONIX

Heal House, built into the *building*

The podium is part of the building: funded in the capital stack, carried by the building's budget, and operated by Heal House rent-free. Heal House brings the members, the programs and the wellness days.

816	$4.2M	$2.1M	$4.0M	1.69x
MEMBERS · 85% OF HOMES	HEAL HOUSE REVENUE / YR	HEAL HOUSE EBITDA · 50%	CLINIC BUILD-OUT, IN THE STACK	BUILDING COVERAGE, STILL STRONG

01 · HEAL HOUSE P&L AT ZONIX, STABILIZED

Membership — 816 × $350/mo	$3.4M
Wellness days — 25% of short-stay guests × $150	$0.8M
Cost of services (40%)	($1.7M)
Local overhead (10%)	($0.4M)
Rent and occupancy — carried by the building	$0.0M
EBITDA	**$2.1M**

02 · WHAT HEAL HOUSE IS WORTH FROM THIS ONE BUILDING

METHOD	VALUE
8x EBITDA — health-services low	$16.9M
12x EBITDA — health-services high	$25.3M
2.5x recurring revenue	$10.5M
5.5x revenue — Heal House business plan, Series A	$23.2M
Plus a clinic Heal House did not pay for	**$4.0M**

03 · IF FEWER RESIDENTS JOIN

At 85% of seniors and 20% of Tower A (354 members), membership earns $1.5M and $0.7M EBITDA — still profitable, because Heal House carries no rent.

04 · THE PATH TO 2,000 SENIORS' HOMES

1,700
Members at 85% of 2,000 homes

$7.1M
Membership revenue a year

$3.6M
Heal House EBITDA, space provided by each building

$28.6M–$42.8M
Heal House value at 8–12x EBITDA

$33.4M
Housing NOI a year at Zonix's $16.7K per suite

$785.0M
Housing value at a 4.25% cap, before debt

05 · WHAT IT DOES TO THE BUILDING

Giving Heal House the podium rent-free and carrying its operating cost moves Year-1 coverage from 1.81x (leased) to **1.69x**; Year-10 refinance coverage is 2.05x. Short-stay and rental income fund the podium. The building stays well above lender minimums.

06 · STATED OPENLY

- **85% uptake across all homes is a sponsor assumption.** Seniors at that level is credible; families in Tower A are more likely 15–30%.
- **Membership is optional and separate from the lease.** If mandatory, CMHC and BCH count it as rent; bundled care services trigger the Retirement Homes Act.
- **$350 is about 25% of an affordable 1-bed rent.** Offer a subsidized tier for the 287 affordable homes.
- **Revenue multiples above 2–3x** rely on the HealConnect platform and insurer revenue being real; lead with EBITDA.
- **Common Ground homes are owned by the non-profit** and carry affordability covenants; a saleable portfolio needs market seniors' buildings held outside the structure.

Sources: Heal House: $350/mo membership, 85% uptake (sponsor assumption); 60% gross margin per HealHouse_15Year_BusinessPlan_Valuation (Jun 2026); 10% local overhead · Wellness days: ASSUMPTION, 25% of 80 keys at 72% occupancy buying a $150 day · Building figures from page 1. Illustrative scenario for discussion — not a valuation, offer, or financial advice.